

Summary of Consolidated Financial Results for the Nine Months of the Fiscal Year Ending March 31, 2026 [Japanese GAAP]

February 16, 2026

Company name: Datasection Inc. Stock exchange listing: Tokyo Stock Exchange

Securities code: 3905 URL: <https://www.datasection.co.jp/en>

Representative: (Title) Representative Director, President and CEO (Name) Norihiko Ishihara

Inquiries: (Title) General Manager, Legal Department(Name) Yuichi Nozawa Tel: 050-3649-4858

Scheduled date of dividend payment commencement: -

Preparation of supplementary materials on financial results: None

Holding of financial results briefing : Yes

(Millions of yen, rounded down to the nearest million)

1. Consolidated Financial Results for the Nine Months of the Fiscal Year Ending March 31, 2026 (From April 1, 2025 to December 31, 2025)

(1) Consolidated Operating Results (Cumulative)

(Percentage figures represent year-on-year changes)

	Net Sales		Operating profit		Adjusted EBITDA		Ordinary profit		Profit (loss) attributable to owners of parent	
	millions of yen	%	millions of yen	%	millions of yen	%	millions of yen	%	millions of yen	%
Nine months ended Dec. 31, 2025	15,929	673.0	(332)	-	698	-	(464)	-	(566)	-
Nine months ended Dec. 31, 2024	2,060	33.0	(281)	-	(49)	-	(381)	-	(403)	-

(Note)

1. Comprehensive income: Nine months ended December 31, 2025 (527) million yen (-%) Nine months ended December 31, 2024 (372) million yen (-%)

2. Adjusted EBITDA is disclosed as an indicator of the Company's ability to generate cash flow in its business activities. Adjusted EBITDA = Operating profit + Depreciation and amortization + Amortization of intangible fixed assets + Stock-based compensation expenses + M&A-related expenses

	Basic earnings per share	Diluted earnings per share
	Yen	Yen
Nine months ended Dec. 31, 2025	(25.30)	-
Nine months ended Dec. 31, 2024	(23.08)	-

(Note) Diluted earnings per share for the nine months of the fiscal year ended March 31, 2025 and for the nine months of the fiscal year ending March 31, 2026 are not presented, even though there were potential shares, because we posted a net loss per share.

(2) Consolidated Financial Position

	Total assets	Net assets	Equity-to-asset ratio
	millions of yen	millions of yen	%
December 31, 2025	22,333	16,316	66.8
March 31, 2025	4,593	2,400	50.4

(Reference)

Equity capital: December 31, 2025 14,912 million yen

March 31, 2025 2,314 million yen

2. Dividend Status

	Annual dividend				
	Q1 End	Q2 End	Q3 End	Year-end	Total Annual Dividend
	Yen	Yen	Yen	Yen	Yen
Fiscal year ended March 31, 2025	-	0.00	-	0.00	0.00
Fiscal year ending March 31, 2026	-	0.00	-		
Fiscal year ending March 31, 2026 (forecast)				0.00	0.00

(Note) Revisions to the most recently announced dividend forecast: None

3. Consolidated Earnings Forecast for the Fiscal Year Ending March 31, 2026 (April 1, 2025 - March 31, 2026)

(Percentage figures represent year-on-year changes)

	Net Sales		Operating profit		Adjusted EBITDA		Ordinary profit		Profit attributable to owners of parent		Basic earnings per share
Full Year	millions of yen	%	millions of yen	%	millions of yen	%	millions of yen	%	millions of yen	%	Yen
	37,273	-	3,498	-	7,239	-	2,972	-	1,908	-	59.34

(Note) Revisions to the most recently announced earnings forecast: None

(Note) For the average number of shares during the period, which is the basis for calculating basic earnings per share, 32,161,051 shares are used, taking into account the assumed number of stock acquisition rights to be exercised during the period from January to March 2026.

Notes:

(1) Significant changes in scope of consolidation during the period: Yes

New: 1 company (Fupbimx, S.A.P.I. de C.V.), Excluded: None

(2) Application of special accounting treatments in preparing the quarterly consolidated financial statements: None

(3) Changes in accounting policies, changes in accounting estimates, and restatements

(i) Changes in accounting policies due to revisions to accounting standards:	None
(ii) Changes in accounting policies other than (i):	None
(iii) Changes in accounting estimates:	None
(iv) Restatement:	None

(4) Number of shares issued (common stock):

(i) Number of shares issued at the end of the period (including treasury stock)

(ii) Number of treasury shares at the end of the period:

(iii) Average number of shares during the period (quarterly cumulative)

Nine months ended December 31, 2025	29,769,051 shares	Fiscal year ended March 31, 2025	17,795,951 shares
Nine months ended December 31, 2025	90,952 shares	Fiscal year ended March 31, 2025	90,912 shares
Nine months ended December 31, 2025	22,382,977 shares	Nine months ended December 31, 2024	17,475,371 shares

* Review of the accompanying quarterly consolidated financial statements by a certified public accountant or an auditing firm: Yes (voluntary)

* Explanation of the appropriate use of performance forecasts and other special notes

The forward-looking statements, including earnings forecasts, contained in this document are based on information currently available to the company and on certain assumptions deemed to be reasonable. Actual results may differ significantly due to various factors. For conditions underlying the earnings forecasts and notes on their use, please refer to 1. Qualitative information on quarterly financial results (3) Explanation of forward-looking statements, including consolidated earnings forecasts, on page 5 of the attached documents.

Table of Contents of Attached Documents

1. Qualitative information on quarterly financial results	2
(1) Explanation of operating results	2
(2) Explanation of financial position	4
(3) Explanation of forward-looking statements, including consolidated earnings forecasts	5
(4) Significant events regarding the premise of a going concern	5
2. Quarterly consolidated financial statements and primary notes	7
(1) Quarterly consolidated balance sheets (Unit: thousands of yen)	7
(2) Quarterly consolidated statements of income and quarterly consolidated statements of comprehensive income.....	9
(Quarterly consolidated statements of income).....	9
(Quarterly consolidated statements of comprehensive income).....	10
(3) Notes to quarterly consolidated financial statements	11
(Notes on assumption of a going concern).....	11
(Notes in the event of significant changes in shareholders' equity)	11
(Notes on quarterly consolidated statements of cash flows).....	11
(Notes to segment information, etc.).....	12

[Interim Review Report]

1. Qualitative information on quarterly financial results

(1) Explanation of operating results

Forward-looking statements in the text are based on judgments made as of the end of the third quarter of the fiscal year ending March 31, 2026.

During the first nine months of the fiscal year ending March 31, 2026, the Japanese economy showed a moderate recovery trend amid an improving employment and income environment. However, the outlook remains uncertain due to the U.S. tariff policy, the prolonged situation in Ukraine and the Middle East, rising prices, and the impact of continued high interest rate levels in the U.S. and Europe. In the domestic AI business market, investments are expected to increase from FY2023 onward in enhancing application functionalities and developing systems specialized for specific tasks. As applications and systems become more complex to meet user demands, in-house development is anticipated to become more prevalent over outsourcing due to factors such as cost and development speed. Consequently, the market for items related to in-house development, particularly middleware, servers, storage, and IaaS, is expected to see significant growth, with forecasts predicting a market size of 1.9787 trillion yen by FY2027, a 1.7 times increase compared to FY2021 (Fuji Chimera Research Institute, Inc., "2022 Comprehensive Survey of Artificial Intelligence Business").

The global AI market is also expected to grow at an accelerated pace as applications of generative AI, a specialty of the Group, expand and social implementation progresses. Furthermore, the market environment for AI data centers, another area expected to gain traction going forward, is such that there is a need to build AI data centers that can handle the rapidly growing AI processing on a global basis. Given the current global economic and security environment where geopolitical issues and security risks persist, AI is becoming an even more important factor in solving various issues. Therefore, there is a strong need to expand the capacity of AI data centers and cross-border collaboration. In addition, with the industry-wide doubling of computing power required to train AI models approximately every six months

(from the May 2024 EPOCH AI research report, "Training Compute of Frontier AI Models Grows by 4-5x per Year"), in the future, we expect demand for AI data centers and AI cloud stacks to increase further as new and larger models emerge.

The South American smart retail device market is projected to grow from USD 1.8322 billion in 2019 to USD 2.6692 billion by 2027, with an estimated CAGR of 5.3% from 2020 to 2027. This market is segmented into Brazil, Argentina, and other regions of South America. Some of these regions face complex macroeconomic and political environments, leading to various growth scenarios. Developing countries such as Brazil, Argentina, Chile, and Peru are making significant investments in infrastructure and the retail sector. Moreover, many retailers in these regions are beginning digital transformations to enhance competitiveness and adapt to changing conditions. Colombia and Brazil are rapidly advancing in digital innovation, while Chile is ranked as the most outstanding country in terms of digitalization and innovation. This digital transformation is expected to create new opportunities in the smart retail device market across the region. The demand for smart retail devices is also anticipated to increase due to urbanization and the growth of various shopping complexes and recreation centers in the region (Business Market Insights, "South America Smart Retail Devices Market Research Report").

In the domestic retail tech sector (payment terminals, self-operated terminals, next-generation facilities, next-generation operations), in order to maintain business operations amid the pandemic, investment has been made in fully automated checkout and remote customer service systems, etc., to enable non-contact services and operations to be carried out with a small number of staff. As a result, there has been an increase in the number of items related to the visualization of consumer attributes and in-store behavior that had not been digitized, as well as items related to the utilization of data. In the future, next-generation solutions such as cashier-less payment systems and smart entrances, as well as items related to the optimization of the entire supply chain, such as RFID solutions and demand forecasting systems, are also expected to grow. Thus, the market is expected to be 2.2 times larger in 2030 than in 2021, at 555.3 billion yen (*Fuji Keizai, 2022 nen ban jisedai sutoa & riteru tekku Shijo no genjo to shorai tenbo* [2022 edition: Current status and future outlook for the next-generation store and retail tech market]).

In the distribution/retail industry related to digital transformation, fully self-service checkouts are being introduced to address labor shortages in physical stores and enhance customer shopping experiences. Additionally, supermarkets and hypermarkets are increasingly adopting shopping carts equipped with tablet devices, and growth in unmanned store solutions is also anticipated. To enhance shopping experiences, retailers, systems integrators, and advertising companies are advancing the use of AR/VR technologies. In digital operations, the adoption of automatic ordering systems is expanding, particularly in food and general supermarkets, with expected adoption in supply chain management (SCM) by wholesale businesses. Demand forecasting systems are also being increasingly implemented by major national retailers, driven by needs such as reducing food waste and complying with SDGs. The market for these systems is projected to reach 185.2 billion yen by FY2030, a 3.6 times increase compared to FY2021 (Fuji Chimera Research Institute, Inc., *2023 dejitaru toransufomeshon shijo no shorai tenbo shijo hen, benda senryaku hen* [2023 Future Outlook of the Digital Transformation Market: Market Edition and Vendor Strategy Edition]).

In the previous fiscal year, the Group launched a new global AI infrastructure business (name changed from AI data center business) as a strategic core business. To develop and expand this business, we implemented a

Summary of Consolidated Financial Results for the Nine Months of the Fiscal Year Ending March 31, 2026

reorganization of our management structure and actively pursued the recruitment of highly skilled personnel. From an operational standpoint, we promoted a strategy to secure NVIDIA GPUs, which are in tight supply worldwide, through business alliances with leading Taiwanese server equipment suppliers. In parallel, we advanced the development and construction of "TAIZA," our proprietary algorithm system designed to optimize the operation of large-scale GPU clusters, while deepening collaboration and discussions with our business partners and prospective partners. At the same time, we promoted sales activities leveraging our global network, resulting in the expansion of a substantial pipeline of prospective projects aimed at providing AI data center services in Japan, the broader Asia region, and Europe.

In addition to securing sites for AI data centers, the Company, through its business partner Now Naw Japan Co., Ltd. (Head Office: Chuo-ku, Tokyo; Representative: Reika Omi), has indirectly entered into three large AI data service agreements with a customer, one of the largest cloud service providers in the world. During the period under review, each of the projects for which contracts have been signed made progress, and in September 2025, one of these projects began providing services.

In addition, in order to be installed in the AI data centers for the projects for which these contracts have been concluded, an asset purchase agreement was concluded in July 2025 with Giga Computing Co., Ltd. (Head Office: New Taipei City, Taiwan; Representative: Daniel Hou, CEO) for the acquisition of a set of GPU servers (625 units) equipped with NVIDIA B200 (5,000 units). Also in December 2025, the Company concluded another asset purchase agreement with Inventec Corporation (Head Office: Taipei, Taiwan; Representative: Jack Tsai, President) for the acquisition of a set of GPU servers (1,250 units) equipped with NVIDIA B300 (10,000 units).

In addition to the above, in June 2025, the Company reached a basic agreement with Mr. Mathew Hawkins, the largest shareholder and representative of CUDO Ventures Ltd. (Head Office: London, UK; Representative: Matt Hawkins, CEO; Service Brand: CUDO Compute; hereinafter "CUDO") regarding the acquisition of CUDO as a subsidiary through capital alliance. CUDO has operational experience and technical capabilities in AI cloud stacks and data center infrastructure and is certified as an AI partner (NVIDIA Cloud Partner) by NVIDIA Corporation (Head Office: California, USA; Representative: Jensen Huang, CEO). The Company also reached an agreement with CUDO to establish a subsidiary as a joint venture with CUDO, and discussions are ongoing.

Business results for the first nine months of the fiscal year ending March 31, 2026 are as follows.

In the first quarter of the fiscal year under review, Fupbimx, S.A.P.I. de C.V., a subsidiary in Mexico that had not been consolidated, became a consolidated subsidiary due to its increased importance.

(Net sales)

Net sales for the first nine months of the fiscal year ending March 31, 2026 totaled 15,929 million yen (up 673.0% year on year). This was mainly due to the start of service provision in the AI infrastructure business in September 2025, as well as generally solid or strong performance in existing businesses.

(Cost of sales)

Cost of sales for the period under review totaled 13,800 million yen (1,198 million yen in the same period of the previous year). Cost of sales mainly included 12,362 million yen in server usage fees, 525 million yen in personnel expenses, 351 million yen in outsourcing expenses, and 312 million yen in depreciation and amortization.

(Selling, general and administrative expenses)

Selling, general and administrative expenses were 2,460 million yen (up 115.2% year on year). Selling, general and administrative expenses consisted mainly of personnel expenses of 675 million yen, stock-based compensation expense of 598 million yen, outsourcing expenses of 479 million yen, compensation fees paid of 183 million yen, amortization of goodwill and customer-related assets of 90 million yen, taxes and dues of 83 million yen, travel and transportation expenses of 55 million yen, and land rent of 46 million yen.

(Non-operating income [expenses])

Foreign exchange losses of 109 million yen and interest expenses of 24 million yen were recorded.

(Extraordinary income/losses)

A loss on sale of investment securities of 2 million yen and a loss on valuation of investment securities of 1 million yen were recorded.

(Total income taxes)

Total income taxes amounted to 90 million yen, mainly due to the recording of 97 million yen in income taxes - current and -6 million yen in income taxes - deferred.

Summary of Consolidated Financial Results for the Nine Months of the Fiscal Year Ending March 31, 2026

As a result of the start of service provision in the new AI infrastructure business, net sales for the first nine months of the fiscal year ending March 31, 2026 were 15,929 million yen (up 673.0% year on year), while operating loss was 332 million yen (281 million yen operating loss in the same period of the previous year) and adjusted EBITDA was 698 million yen (a loss of 49 million yen in the same period of the previous year) due to upfront investment expenses for the AI infrastructure business and other reasons.

In addition, foreign exchange losses of 109 million yen were recorded as non-operating expenses, resulting in an ordinary loss of 464 million yen (ordinary loss of 381 million yen in the same period of the previous year). The recording of a loss on sale of investment securities of 2 million yen, a loss on valuation of investment securities of 1 million yen, and total income taxes of 90 million yen resulted in a loss attributable to owners of parent of 566 million yen (loss attributable to owners of parent of 403 million yen in the same period of the previous year).

On a non-consolidated basis, the Company posted net sales of 14,183 million yen, operating profit of 1,038 million yen, adjusted EBITDA of 1,482 million yen, ordinary profit of 965 million yen, and profit attributable to owners of parent of 899 million yen in the third quarter of the fiscal year under review, mainly due to full-scale provision of services in the AI Infrastructure business, bringing the Company back into the black.

*Adjusted EBITDA = Operating profit + Depreciation and amortization + Amortization of intangible fixed assets + Stock-based compensation expenses + M&A-related expenses

Operating results by segment for the first nine months of the current fiscal year are as follows.

i. Japan Segment

The Japan Segment consists of the AI infrastructure business, as well as the data science, system integration, and marketing solution businesses.

In the new AI infrastructure business, our strategic core business, we develop and provide AI cloud stack TAIZA, supply GPU servers, operate GPUaas (GPU as a Service) and AI data centers, and invest in AI data centers.

In the data science business, we support companies' data-driven management and DX promotion through consulting, IT education, and other solutions for data utilization, etc., mainly for major blue-chip companies, based on our strength in data utilization and AI development.

In the system integration business, we develop customized solutions for each user by leveraging our technical capabilities and expertise cultivated through big data analysis and AI technology (text, image, and voice).

In addition, consolidated subsidiary d-ss. inc. ("DSS") provides payment services (corporate prepaid card service Biz Preca

(<https://bizpreca.jp/>), SESbusiness (credit card companies, settlement companies, securities firms, etc.), contracted development for financial services centered on credit card companies, MSP services (cloud system construction, operation, and maintenance services centered on AWS), and security services

(PCIDSS consulting services, security diagnostic services, etc.).

In the marketing solutions business, we offer FollowUP, a recurring-revenue service in Japan that helps improve store performance by analyzing image and video data acquired by AI cameras installed in retail stores and combining it with POS data. Meanwhile, solid intelligence Inc. ("SI"), a consolidated subsidiary, provides digital marketing and social media analysis services, as well as consulting services based on these analyses, while MSS Inc. ("MSS"), a consolidated subsidiary, provides marketing research services and support for sales promotion activities, mainly for food-related retailers, manufacturers, and logistics companies.

During the period under review, the AI infrastructure business made a large upfront investment to build a business foundation and expand its business, but with the full-scale provision of services beginning in the third quarter of the current fiscal year, sales expanded significantly and profits also improved substantially.

The data science and system integration businesses performed well in terms of both sales and profit, driven by DSS.

In the domestic marketing solutions business, sales and profits remained at the same level as the previous fiscal year due to sluggish growth at MSS, while SI and "FollowUP" service remained strong.

As a result, in the Japan Segment, sales to outside customers in the first nine months of the fiscal year ending March 31, 2026 totaled 15,103 million yen (1,305 million yen in the same period of the previous year), with a segment profit of 1,158 million yen (segment loss of 87 million yen in the same period of the previous year).

ii. Overseas Segment

In the Overseas Segment, the Company provides FollowUP, a marketing solutions service, overseas.

As a result of firm orders in Chile and Colombia, our main overseas business bases, in the Overseas Segment, sales to outside customers in the first nine months of the fiscal year ending March 31, 2026 totaled 825 million yen (up 9.4% year on year), with a segment profit of 132 million yen (up 13.0% year on year).

(2) Explanation of financial position

(Assets)

Total assets were 22,333 million yen at the end of the third quarter of the fiscal year ending March 31, 2026, an

Summary of Consolidated Financial Results for the Nine Months of the Fiscal Year Ending March 31, 2026

increase of 17,739 million yen (386.1%) from the end of the previous fiscal year.

This was mainly due to increases of 3,932 million yen in cash and deposits; 4,156 million yen in notes and accounts receivable - trade, and contract assets; 3,180 million yen in leasehold and guarantee deposits; 721 million yen in long-term prepaid expenses; 786 million yen in advance payments; 4,172 million yen in property, plant and equipment; and 237 million yen in intangible assets.

(Liabilities)

Total liabilities increased by 3,822 million yen (up 174.3%) from the end of the previous fiscal year to 6,016 million yen.

This was mainly because deposits received increased by 4,306 million yen and accounts payable - other increased by 97 million yen, while short-term borrowings and long-term borrowings (including the current portion) decreased by 718 million yen and 126 million yen, respectively.

(Net assets)

Net assets at the end of the third quarter of the current fiscal year increased by 13,916 million yen (up 579.8%) from the end of the previous fiscal year to 16,316 million yen.

This reflects an increase of 23 million yen each in capital stock and capital surplus due to the partial exercise of the 15th series stock acquisition rights (paid stock options) issued on February 2, 2021; and an increase of 407 million yen each in capital stock and capital surplus due to the exercise of the 19th series stock acquisition rights (fixed exercise price type) issued on February 29, 2024. Also, the exercise of the 20th series stock acquisition rights (with exercise price amendment clause) issued on March 6, 2025, increased capital stock and capital surplus by 2,293 million yen each, and the partial exercise of the 23rd series stock acquisition rights (fixed exercise price type) issued by third-party allotment, approved at the Board of Directors meeting held on September 10, 2025, and the Extraordinary General Meeting of Shareholders held on October 17, 2025, increased capital stock and capital surplus by 3,849 million yen each. The issuance of the 21st series of paid stock acquisition rights (performance-linked paid stock options) on April 10, 2025, and the 22nd series of paid stock acquisition rights (performance-linked paid stock options) on July 10, 2025, resulted in the recording of 608 million yen in stock acquisition rights, and ¥809 million was also recorded under stock acquisition rights due to the issuance of the 23rd series stock acquisition rights. Retained earnings, meanwhile, decreased by 580 million yen.

(3) Explanation of forward-looking statements, including consolidated earnings forecasts

The consolidated earnings forecasts for the fiscal year ending March 31, 2026 have been revised in light of plans and recent performance trends related to the data center business. For details, please refer to the "Notice Regarding the Revision of Consolidated Earnings Forecast" released on January 6, 2026.

(4) Significant events regarding the premise of a going concern

In the previous fiscal year, while all existing businesses performed well, the Group posted an operating loss of 496 million yen (operating loss of 216 million yen for a year earlier), an ordinary loss of 613 million yen (ordinary loss of 235 million yen a year earlier), and a loss attributable to owners of parent of 654 million yen (loss attributable to owners of parent of 1,261 million yen for a year earlier). We posted large losses for two consecutive years across all profit lines except for adjusted EBITDA because we made significant upfront investments in the new AI infrastructure business to achieve strong growth over the medium to long term. In the first nine months of the fiscal year ending March 31, 2026, while all existing businesses performed well, the Company again posted an operating loss of 332 million yen (operating loss of 281 million yen for the same period of the previous fiscal year), an ordinary loss of 464 million yen (ordinary loss of 381 million yen for the same period of the previous year), and a loss attributable to owners of parent of 566 million yen (loss attributable to owners of parent of 403 million yen for the same period of the previous year) due to the impact of large upfront investments for the new AI infrastructure business aimed at achieving strong growth over the medium to long term. Meanwhile, for the third quarter of the fiscal year under review, each level of profit from operating profit downward turned profitable on a quarterly basis. Due to these circumstances, the Company recognizes that events or circumstances exist that may cast significant doubt on the Company's ability to continue as a going concern as of the end of the first nine months of the fiscal year ending March 31, 2026.

In light of these circumstances, in addition to making continuous corporate efforts at each company in the Group, our Board of Directors, at its meetings held on January 26, 2024 and February 13, 2024, resolved to issue new shares ("New Shares") by third-party allotment, and the 19th series stock acquisition rights with fixed exercise price (exercise price: 544 yen, number of dilutive shares: 1,488,000 shares, term: five years). The Company raised 688 million yen in February 2024 through the issuance of New Shares and the 19th series stock acquisition rights. All of the 19th series stock acquisition rights were exercised in October 2025, and 809 million yen was raised as a result. In addition, as additional fundraising, the Company's Board of Directors resolved on February 18, 2025 to issue the 20th series stock acquisition rights with a clause to revise exercise price (initial exercise price: 688 yen, number of dilutive shares: 4,400,000 shares, term: 1 year) by third-party allotment, and the 20th series stock acquisition rights were issued and all rights were exercised between March and July 2025, raising 4,673 million yen. Furthermore, at the Company's Board of Directors meeting held on September 10, 2025, and the Extraordinary General Meeting of Shareholders held on October 17, 2025, it was resolved to issue the 23rd series stock acquisition rights (fixed exercise price type) (exercise price: 1,250 yen, number of dilutive shares: 44,000,000 shares, term: 1 year). The issuance of the 23rd series stock acquisition rights raised 809 million yen in October 2025, and 7,587 million yen was also raised through a

Summary of Consolidated Financial Results for the Nine Months of the Fiscal Year Ending March 31, 2026

partial exercise of the 23rd series stock acquisition rights in November 2025.

Moreover, the Company has established a system with financial institutions with which it can discuss responses on a case-by-case basis as necessary, and by maintaining a good relationship with them, the Company seeks to maintain and sustain its borrowings.

Taking the above situation into account, after evaluating the cash management plan and the underlying business plan, we believe that we will have sufficient funds until December 31, 2026, one year from the day after the balance sheet date, and that there is no material uncertainty concerning the premise of a going concern.

2. Quarterly consolidated financial statements and primary notes

(1) Quarterly consolidated balance sheets

(Unit: thousands of yen)

	Previous consolidated fiscal year (March 31, 2025)	Nine months ended December 31, 2025 (December 31, 2025)
Assets		
Current assets		
Cash and deposits	526,039	4,458,727
Notes and accounts receivable - trade, and contract assets	650,315	4,807,207
Merchandise and finished goods	60,131	57,783
Work in process	2,912	18,352
Income taxes refund receivable	67,285	38,813
Advance payments	2,117	788,695
Other	82,999	597,022
Total current assets	1,391,803	10,766,601
Non-current assets		
Property, plant and equipment	406,954	4,579,509
Intangible assets		
Goodwill	1,318,157	1,228,620
Software	1,290,739	1,620,660
Other	16,809	14,009
Total intangible assets	2,625,706	2,863,291
Investments and other assets		
Guarantee deposits	32,069	3,212,069
Other	137,436	911,810
Total investments and other assets	169,506	4,123,880
Total non-current assets	3,202,167	11,566,681
Total assets	4,593,971	22,333,283
Liabilities		
Current liabilities		
Short-term borrowings	950,832	232,145
Current portion of long-term borrowings	192,540	120,469
Accounts payable - other	492,218	589,744
Accrued expenses	67,975	97,250
Income taxes payable	88,199	169,989
Accrued consumption taxes	38,767	32,838
Provision for bonuses	22,663	10,240
Deposits received	13,286	4,319,626
Other	10,959	23,477
Total current liabilities	1,877,443	5,595,781
Non-current liabilities		
Long-term borrowings	226,745	171,998
Asset retirement obligations	9,000	9,000
Retirement benefit liability	19,787	22,297
Deferred tax liabilities	1,698	2,171
Other	59,141	215,532
Total non-current liabilities	316,373	421,000
Total liabilities	2,193,817	6,016,782

Datasection Inc. (3905)

Summary of Consolidated Financial Results for the Nine Months of the Fiscal Year Ending March 31, 2026

	(Unit: thousands of yen)	
	Previous consolidated fiscal year (March 31, 2025)	Nine months ended December 31, 2025 (December 31, 2025)
Net assets		
Shareholders' equity		
Capital stock	1,912,113	8,486,036
Capital surplus	2,567,471	9,138,267
Retained earnings	(2,196,537)	(2,776,906)
Treasury shares	(50)	(187)
Total shareholders' equity	2,282,996	14,847,210
Accumulated other comprehensive income		
Valuation difference on available-for-sale securities	3,690	4,718
Foreign currency translation adjustment	27,984	61,037
Total accumulated other comprehensive income	31,674	65,755
Share acquisition rights	69,556	1,368,616
Non-controlling interests	15,926	34,919
Total net assets	2,400,153	16,316,501
Total liabilities and net assets	4,593,971	22,333,283

Summary of Consolidated Financial Results for the Nine Months of the Fiscal Year Ending March 31, 2026

(2) Quarterly consolidated statements of income and quarterly consolidated statements of comprehensive income
(Quarterly consolidated statements of income)

(Unit: thousands of yen)

	Nine months ended December 31, 2024 (April 1, 2024 to December 31, 2024)	Nine months ended December 31, 2025 (April 1, 2025 to December 31, 2025)
Net Sales	2,060,725	15,929,264
Cost of sales	1,198,288	13,800,347
Gross profit	862,436	2,128,917
Selling, general and administrative expenses	1,143,777	2,460,936
Operating loss	(281,340)	(332,019)
Non-operating income		
Interest and dividend income	1,327	2,205
Subsidy income	10,500	1,000
Other	8,584	2,868
Total non-operating income	20,411	6,073
Non-operating expenses		
Interest expenses	27,207	24,291
Share of loss of entities accounted for using equity method	3,231	-
Foreign exchange losses	87,201	109,647
Loss on cancellation of insurance policies	-	2,251
Other	3,037	2,073
Total non-operating expenses	120,677	138,264
Ordinary loss	(381,606)	(464,210)
Extraordinary income		
Gain on sale of investment securities	5,658	-
Gain on reversal of share acquisition rights	4,506	-
Gain on adjustment of accounts payable	6,024	-
Total extraordinary income	16,188	-
Extraordinary losses		
Loss on retirement of non-current assets	4,654	-
Loss on valuation of investment securities	-	1,981
Loss on sale of investment securities	-	2,152
Total extraordinary losses	4,654	4,133
Loss before income taxes	(370,072)	(468,343)
Income taxes - current	29,592	97,759
Income taxes - deferred	3,992	(6,804)
Total income taxes	33,585	90,954
Loss	(403,657)	(559,297)
Profit (loss) attributable to non-controlling interests	7,050	(392)
Loss attributable to owners of parent	(403,265)	(566,348)

Datasection Inc. (3905)

Summary of Consolidated Financial Results for the Nine Months of the Fiscal Year Ending March 31, 2026

(Quarterly consolidated statements of comprehensive income)

(Unit: thousands of yen)

	Nine months ended December 31, 2024 (April 1, 2024 to December 31, 2024)	Nine months ended December 31, 2025(April 1, 2025 to December 31, 2025)
Loss	(403,657)	(559,297)
Other comprehensive income		
Valuation difference on available-for-sale securities	(1,969)	1,028
Foreign currency translation adjustment	33,045	30,919
Total other comprehensive income	31,076	31,947
Comprehensive income	(372,581)	(527,350)
(Breakdown)		
Comprehensive income attributable to owners of parent	(372,062)	(532,267)
Comprehensive income attributable to non-controlling interests	(518)	4,917

Summary of Consolidated Financial Results for the Nine Months of the Fiscal Year Ending March 31, 2026

(3) Notes to quarterly consolidated financial statements

(Notes on assumption of a going concern): Not applicable.

(Notes in the event of significant changes in shareholders' equity)

Capital stock and capital surplus increased by 6,573,923 thousand yen each in the first nine months of the fiscal year ending March 31, 2026 due to the issuance of new shares upon exercise of the 20th series, 15th series, 19th series and 23rd series of stock acquisition rights.

Mainly due to these increases, capital stock and capital surplus amounted to 8,486,036 thousand yen and 9,138,267 thousand yen, respectively, at the end of the third quarter of the current fiscal year.

(Notes on quarterly consolidated statements of cash flows)

Quarterly consolidated statements of cash flows have not been prepared for the nine months of the fiscal year ending March 31, 2026. Depreciation and amortization (including amortization related to intangible assets) and amortization of goodwill for the nine months ended December 31, 2025 are as follows.

	Nine months ended December 31, 2024 (April 1, 2024 to December 31, 2024)	Nine months ended December 31, 2025 April 1, 2025 to December 31, 2025)
Depreciation and amortization	129,473 thousand yen	329,943 thousand yen
Amortization of goodwill	67,416 thousand yen	87,890 thousand yen

Summary of Consolidated Financial Results for the Nine Months of the Fiscal Year Ending March 31, 2026

(Notes to segment information, etc.)

[Segment information]

I Nine months ended December 31, 2024 (April 1, 2024 to December 31, 2024)

1. Information on sales and profit or loss by reportable segment and disaggregation of revenue

(Unit: thousands of yen)

	Reportable segment			Adjustments (Note 1)	Amount recorded in consolidated financial statements (Note 2)
	Japan Segment	Overseas Segment	Total		
Net Sales					
Goods or services transferred at a point in time	785,720	36,270	821,991	-	821,991
Goods or services transferred over a period of time	519,946	718,787	1,238,733	-	1,238,733
Revenue from contracts with customers	1,305,667	755,057	2,060,725	-	2,060,725
Other revenue	-	-	-	-	-
Sales to external customers	1,305,667	755,057	2,060,725	-	2,060,725
Intersegment sales and transfers	9,078	-	9,078	(9,078)	-
Total	1,314,745	755,057	2,069,803	(9,078)	2,060,725
Segment profit (loss)	(87,049)	117,378	30,329	(311,669)	(281,340)

(Notes) 1. Adjustment of segment profit (loss) of (311,669) thousand yen is a corporate expense not allocated to each reportable segment.

2. Segment profit (loss) is adjusted with operating loss in the quarterly consolidated statements of income.

2. Information on assets by reportable segment

The amount of assets at the end of the third quarter of the fiscal year ended March 31, 2025 increased by 588,828 thousand yen from the end of the previous fiscal year. This was mainly due to the acquisition of shares in MSS Inc., which was newly included in the scope of consolidation during the first quarter of the fiscal year ended March 31, 2025. MSS Inc. belongs to the Japan Segment.

3. Information on impairment loss on non-current assets and goodwill by reportable segment

(Significant changes in the amount of goodwill)

In the Japan Segment, goodwill was generated due to the new consolidation of MSS Inc. from the first quarter of the fiscal year ended March 31, 2025. The amount of goodwill recorded due to this event was 1,200,768 thousand yen at the end of the third quarter of the fiscal year ended March 31, 2025.

II Nine months ended December 31, 2025 (April 1, 2025 to December 31, 2025)

1. Information on sales and profit or loss by reportable segment and disaggregation of revenue

(Unit: thousands of yen)

	Reportable segment			Adjustments (Note 1)	Amount recorded in consolidated financial statements (Note 2)
	Japan Segment	Overseas Segment	Total		
Net Sales					
Goods or services transferred at a point in time	605,083	20,710	625,793	-	625,793
Goods or services transferred over a period of time	14,498,506	804,964	15,303,470	-	15,303,470
Revenue from contracts with customers	15,103,589	825,675	15,929,264	-	15,929,264
Other revenue	-	-	-	-	-
Sales to external customers	15,103,589	825,675	15,929,264	-	15,929,264
Intersegment sales and transfers	3,185	52,248	55,434	(55,434)	-
Total	15,106,775	877,923	15,984,698	(55,434)	15,929,264
Segment profit (loss)	1,158,495	132,602	1,291,097	(1,623,117)	(332,019)

(Notes) 1. Adjustment of segment profit (loss) of (1,623,117) thousand yen is a corporate expense not allocated to each reportable segment.

2. Segment profit (loss) is adjusted with operating loss in the quarterly consolidated statements of income.

2. Information on assets by reportable segment

The amount of assets at the end of the third quarter of the fiscal year ending March 31, 2026 increased by 17,739,312 thousand yen from the end of the previous fiscal year. This was mainly due to a 4,148,245 thousand yen increase in accounts receivable - trade related to the AI data center business in the Japan Segment, a 4,211,805 thousand yen increase in property, plant and equipment due to the purchase of GPU servers for the AI data center business, and a 3,180,000 thousand yen increase in guarantee deposits for the AI data center business.

3. Information on impairment loss on non-current assets and goodwill by reportable segment

(Significant changes in the amount of goodwill)

Not applicable.

Independent Auditor's Interim Review Report on the Quarterly Consolidated Financial Statements

February 16, 2026

To: Datasection Inc. Board of Directors,

Amaterasu Limited Liability Audit Company,
Shibuya-ku, Tokyo

Designated Limited Liability Partner

Designated Limited Liability Partner

Certified Public Accountant Yukinori Takayama

Certified Public Accountant Satoshi Fukudome

Auditor's conclusion

The Auditor has concluded an interim review of the quarterly consolidated financial statements, comprising the quarterly consolidated balance sheets, quarterly consolidated statements of income, quarterly consolidated statements of comprehensive income, and notes thereto for the third quarter (October 1, 2025 through December 31, 2025) and the nine months period (April 1, 2025 through December 31, 2025) of the fiscal year ending March 31, 2026 of Datasection Inc., which are included in the "Attached Documents" of the Summary of Consolidated Financial Results.

In our interim review, nothing in all material aspects has come to our attention that causes us to believe that the quarterly consolidated financial statements referred to above are not prepared in accordance with Article 4, Paragraph 1 of the Standards for Preparation of Quarterly Financial Statements, etc. of Tokyo Stock Exchange, Inc. and the accounting standards generally accepted in Japan for quarterly financial statements (provided, however, that the omissions set forth in Article 4, Paragraph 2 of the Standards for Preparation of Quarterly Financial Statements, etc. are applied.)

Basis for Auditor's conclusion

The Auditor conducted an interim review in accordance with auditing standards generally accepted in Japan. The Auditor's responsibility under the criteria for an interim review is described in "Auditor's responsibility for interim review of quarterly consolidated financial statements." The Auditor is independent of the Company and its consolidated subsidiaries in accordance with the provisions related to professional ethics in Japan (including the provisions applicable to the audit of financial statements of entities with high social impact). We also fulfill other ethical responsibilities as an auditor. In our opinion, the evidence supporting our conclusion has been obtained.

Responsibilities of management and the Audit and Supervisory Committee for the quarterly consolidated financial statements

Management is responsible for preparing the quarterly consolidated financial statements in accordance with Article 4, Paragraph 1 of the Standards for Preparation of Quarterly Financial Statements, etc. of Tokyo Stock Exchange, Inc. and the accounting standards generally accepted in Japan for quarterly financial statements (provided, however, that the omissions set forth in Article 4, Paragraph 2 of the Standards for Preparation of Quarterly Financial Statements, etc. are applied.) This includes the design and operation of such internal control as management determines is necessary to enable the preparation of quarterly consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the quarterly consolidated financial statements, management is responsible for assessing the appropriateness of the use of the going concern basis of accounting, and for disclosing, as necessary, matters related to going concern in accordance with Article 4, Paragraph 1 of the Standards for Preparation of Quarterly Financial Statements, etc. of Tokyo Stock Exchange, Inc., and accounting standards generally accepted in Japan for quarterly financial statements (provided, however, that the omissions set forth in Article 4, Paragraph 2 of the Standards for Preparation of Quarterly Financial Statements, etc. have been applied).

The responsibility of the Audit and Supervisory Committee is to oversee the execution of duties by Directors with respect to the design and operation of the financial reporting process.

Auditor's responsibility for the interim review of quarterly consolidated financial statements

Our responsibility is to express a conclusion on the quarterly consolidated financial statements from an independent standpoint, based on the interim review we have performed, and to issue our interim review report.

The Auditor, in accordance with the standards for interim reviews generally accepted in Japan, shall make professional judgments and maintain professional skepticism through the interim review process to carry out the following.

We perform inquiries, primarily of persons responsible for financial and accounting matters, and apply analytical and other review procedures. The procedures performed in an interim review are substantially less in scope than those performed in an audit conducted in accordance with auditing standards generally accepted in Japan for annual financial statements.

Summary of Consolidated Financial Results for the Nine Months of the Fiscal Year Ending March 31, 2026

In the event that it is determined that there are material uncertainties regarding events or circumstances that may cast significant doubt on the Company's ability to continue as a going concern, the Auditor needs to conclude, based on evidence obtained, whether there are any matters that lead it to believe that the quarterly consolidated financial statements are not prepared in accordance with Article 4, Paragraph 1 of the Standards for Preparation of Quarterly Financial Statements, etc. of Tokyo Stock Exchange, Inc. and the accounting standards generally accepted in Japan for quarterly financial statements (provided, however, that the omissions set forth in Article 4, Paragraph 2 of the Standards for Preparation of Quarterly Financial Statements, etc. are applied.) If any material uncertainty regarding the Company's ability to continue as a going concern is identified, the Auditor is required to draw attention, in the interim review report, to the notes in the quarterly consolidated financial statements. If the notes to the quarterly consolidated financial statements regarding the material uncertainty are not appropriate, the Auditor is required to express a qualified conclusion or a negative conclusion regarding the quarterly consolidated financial statements. Although the Auditor's conclusion is based on evidence obtained up to the date of the interim review report, future events or circumstances could cause the Company to cease to exist as a going concern.

The Auditor evaluates whether there are any matters that lead it to believe that the presentation of quarterly consolidated financial statements and notes thereto are not prepared in accordance with Article 4, Paragraph 1 of the Standards for Preparation of Quarterly Financial Statements, etc. of Tokyo Stock Exchange, Inc. and the accounting standards generally accepted in Japan for quarterly financial statements (provided, however, that the omissions set forth in Article 4, Paragraph 2 of the Standards for Preparation of Quarterly Financial Statements, etc. are applied.)

The Auditor shall obtain evidence about the financial information of the Company and its consolidated subsidiaries that serves as the basis to express a conclusion on the quarterly consolidated financial statements. The Auditor is responsible for directing, supervising, and performing an interim quarterly consolidated financial statement review. The Auditor is solely responsible for the Auditor's conclusion.

The Auditor shall report to the Audit and Supervisory Committee on the scope and timing of the planned interim review and significant findings in the interim review.

The Auditor shall report to the Audit and Supervisory Committee that the Auditor has complied with the provision related to Japanese professional ethics regarding independence. In case the Auditor implemented any measures to remove matters that are reasonably considered to affect the independence of the Auditor or any impediments, or implemented safeguards to reduce impediments to an acceptable level, the Auditor shall report on the details of such measures.

Conflict of interest

The Auditor or the Managing Partner have no conflict of interest with the Company or its consolidated subsidiaries that must be disclosed pursuant to the provisions of the Certified Public Accountants Act.

END

(Notes)

1. The original copy of the interim review report is separately retained by the Company (the entity disclosing the quarterly financial results). 2. XBRL data and HTML data are not included in the scope of the interim review.